

PADMA STATIONERS: CLASSIFIED INCOME STATEMENT, YEAR ENDED 31 DECEMBER 2025 (TK)

Item	Tk	Tk
Sales	1,200,000	
Less sales returns	(30,000)	
Net sales		1,170,000
Opening inventory	90,000	
Purchases	700,000	
Less purchase returns	(20,000)	
Add freight-in	15,000	
Goods available for sale	785,000	
Less closing inventory	(110,000)	
Cost of goods sold		(675,000)
Gross profit		495,000
Selling expenses (salaries 120,000, advertising 30,000, delivery 25,000)	175,000	
Administrative expenses (rent 96,000, salaries 80,000, depreciation 12,000, insurance 6,000)	194,000	
Total operating expenses		(369,000)
Operating income		126,000
Interest income	4,000	
Interest expense	(10,000)	
Net other expense		(6,000)
Net income		120,000

Check the statement.

CHECK. Gross profit should be about 42 per cent of net sales: 495,000 ÷ 1,170,000 = 0.423. A shop selling at twice cost would show 50 per cent, and one with thin margins far less, so the figure is sensible for stationery. Net income of 120,000 equals 126,000 less 6,000.

THE CLASSIFIED BALANCE SHEET

Assets and liabilities are grouped by time.

Current asset. An asset expected to be turned into cash or used up within one year.

Current liability. A debt that must be paid within one year.

GO SLOWLY HERE.

The grouping shows safety.

WORD IN USE. Current. In daily life, of now. In accounting, due or usable within one year.

On the balance sheet, assets are grouped by how soon they turn to cash. A **current asset** is one expected to become cash or be used within one year: cash, receivables, inventory, supplies and prepaid items, listed in that order of nearness to cash. A **non-current asset** lasts longer, such as equipment. A **current liability** is a debt due within one year. A *non-current liability* is due later, such as a five-year loan.

The classified balance sheet serves a clear purpose. A lender compares current assets to current liabilities to see if short debts can be paid from short assets. Here that is 588,000 against 66,000, a comfortable margin. Without the grouping, the reader cannot judge.

PADMA STATIONERS: CLASSIFIED BALANCE SHEET, 31 DECEMBER 2025 (TK)

Item	Tk	Tk
Current assets		
Cash	380,000	
Accounts receivable	85,000	
Inventory	110,000	
Supplies	10,000	
Prepaid insurance	3,000	
Total current assets		588,000
Non-current assets		
Equipment (cost 150,000 less accumulated depreciation 12,000)		138,000
Total assets		726,000
Current liabilities		
Accounts payable	60,000	
Wages payable	6,000	
Total current liabilities		66,000
Bank loan (non-current)		100,000
Total liabilities		166,000
Capital 1 January 500,000 + net income 120,000 – drawings 60,000		560,000
Total liabilities and capital		726,000

PRODUCT COSTS AND PERIOD COSTS

Costs are sorted by what they buy.

Product cost. A cost of acquiring or making goods for sale; it stays in inventory until the goods are sold.

Period cost. A cost of running the business in a period, such as rent or advertising; it is expensed at once.

The statements are linked.

A **product cost** is a cost of acquiring or making goods for sale. It is held in inventory as an asset until the goods are sold, and then it becomes COGS. A **period cost** is a cost of running the business, such as rent or advertising. It is expensed in the period in which it occurs, whether or not goods are sold. Freight-in is a product cost; delivery to customers is a period cost.

The income statement and balance sheet are connected at one point: net income. The 120,000 earned increases capital in the balance sheet. A trial balance, by contrast, is a test list. The balance sheet, shown above, is a report of position that groups the accounts for readers.

CORRECTING ERRORS

Errors are of known kinds.

Errors are sorted by kind. An *error of omission* leaves out a whole transaction. An *error of commission* records an amount in the wrong account of the same class. An *error of principle* puts an item in the wrong class, such as a repair debited to an asset. An *error of original entry* records the wrong amount on both sides. *Compensating errors* cancel one another. A *reversal error* debits what should be credited.

GO SLOWLY HERE.

Correct by a new entry that fixes the effect.

GIVEN. Padma paid Tk 5,000 for repairs to the shop but debited Equipment. FIND. The correcting entry. STEPS. The wrong entry was Dr Equipment 5,000, Cr Cash 5,000. The right entry is Dr Repairs Expense 5,000, Cr Cash 5,000. Remove the wrong debit and make the right one: Dr Repairs Expense 5,000, Cr Equipment 5,000. CHECK. Equipment falls by 5,000, expense rises by 5,000, and Cash is correct.

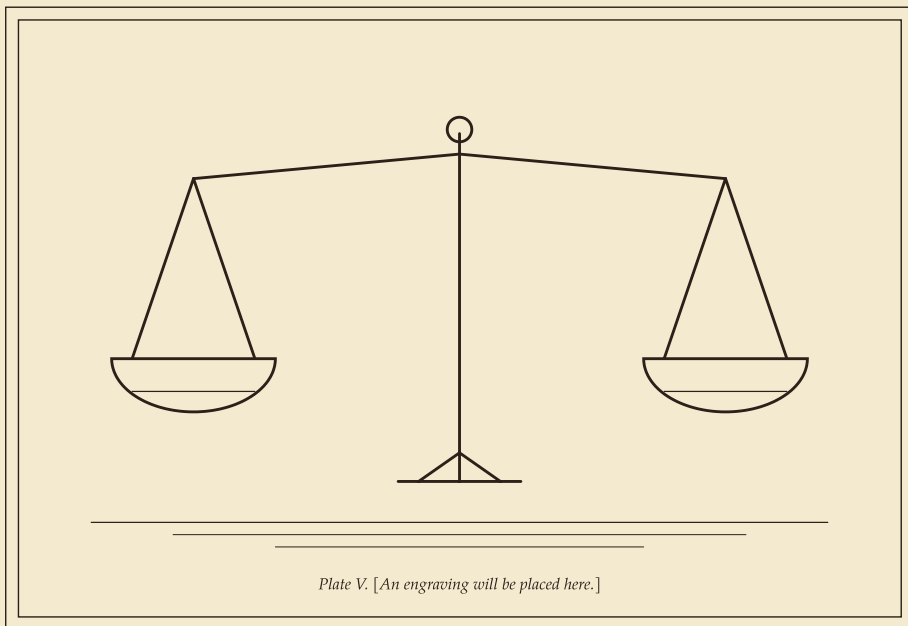


Plate V. [An engraving will be placed here.]

CHAPTER V

The Merchandising Company

When a shop buys at one price and sells at another, where does the profit hide?



This chapter shows how the accounts change when a business buys goods and resells them. It teaches the classified income statement and balance sheet, the difference between product and period costs, and the correction of errors.

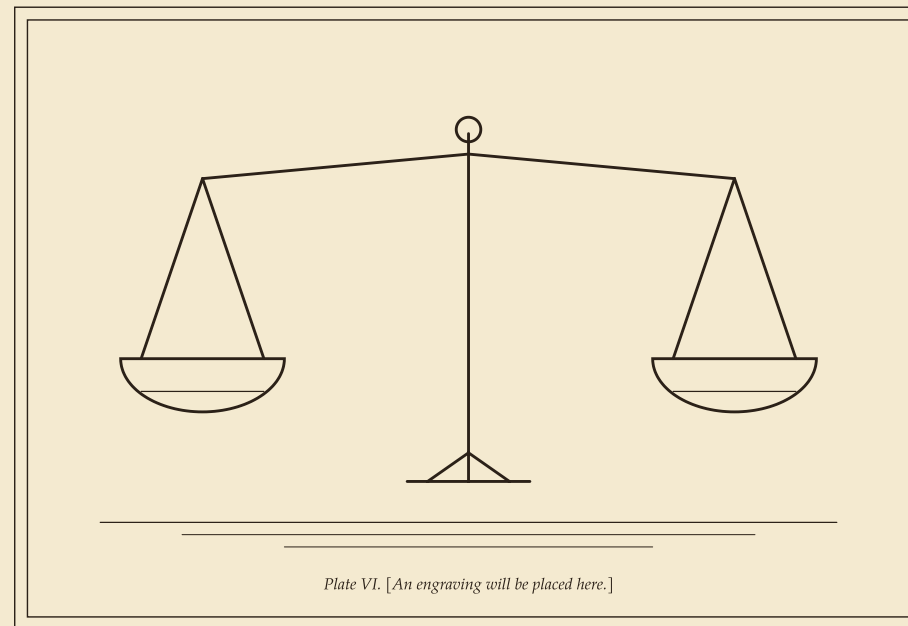


Plate VI. [An engraving will be placed here.]

CHAPTER VI

Inventory

Three deliveries of the same notebook arrive at three prices. Which one did she sell?



This chapter explains what inventory is and why a business holds it, then teaches how to value it by the main methods and how the choice changes profit.

Equity statement, then the balance sheet.

Balance sheet. A report of the assets, liabilities and equity of a business at one date.

STATEMENT OF OWNER'S EQUITY AND BALANCE SHEET, 31 JANUARY 2025 (TK)

Item	Tk
Capital, 1 January	500,000
Add net income	25,500
Less drawings	(15,000)
Capital, 31 January	510,500
Assets: cash, receivable, supplies, prepaid	379,000
Equipment less accumulated depreciation (150,000 – 1,000)	149,000
Total assets	528,000
Liabilities (10,000 + 3,000 + 4,500)	17,500
Capital	510,500
Total liabilities and capital	528,000

CLOSING AND REVERSING

GO SLOWLY HERE.

Closing returns the temporary accounts to zero.

Closing entries. Entries made at the end of a period to bring revenue, expense and drawings accounts to zero and move the result to capital.

GO SLOWLY HERE.

Four closing entries.

Revenue, expense and drawings accounts measure one period only. They are called *temporary* accounts. **Closing entries** bring them to zero so the next period starts clean, and move the profit to capital. Asset, liability and capital accounts are *permanent* and are carried forward.

STEPS. (1) Close revenue: Dr Fees Revenue 74,500, Cr Income Summary 74,500. (2) Close expenses: Dr Income Summary 49,000, Cr each expense account (Wages 23,000; Rent 12,000; Supplies 12,000; Insurance 1,000; Depreciation 1,000). (3) Close the summary to capital: Dr Income Summary 25,500, Cr Capital 25,500. (4) Close drawings: Dr Capital 15,000, Cr Drawings 15,000. **CHECK.** Capital is now 500,000 + 25,500 – 15,000 = 510,500, equal to the statement.

A **reversing entry** is an optional entry on the first day of the next period that cancels an earlier accrual. On 1 February: Dr Wages Payable 3,000, Cr Wages Expense 3,000. Suppose Padma pays Tk 6,000 of wages on 5 February: Dr Wages Expense 6,000, Cr Cash 6,000. The February expense then shows 6,000 – 3,000 = 3,000, which is right, and no one needs to remember the accrual.

SUMMARY

The worksheet tests the work before the statements are written. It sorts accounts into the income statement and balance sheet. Closing entries zero the temporary accounts. Reversing entries are optional.

THINK IT THROUGH

On a worksheet, an account has an adjusted debit balance of Tk 8,000 and is a supply asset. In which two columns does it appear? (Adjusted trial balance debit; balance sheet debit.)

WHERE PEOPLE GO WRONG

A common error is to treat the worksheet as a book of record. It is not. Another is to place net income in the wrong column of the balance sheet pair. Net income goes on the credit side.

Reversing entries are optional.

Reversing entry. An optional entry on the first day of a period that cancels an earlier accrual so that routine payments can be recorded simply.

GOODS AVAILABLE FOR SALE, PADMA STATIONERS (PERIODIC SYSTEM)

Lot	Units	Unit cost (Tk)	Total (Tk)
Opening inventory	100	40	4,000
Purchase 1	200	44	8,800
Purchase 2	100	48	4,800
Goods available	400		17,600

GO SLOWLY HERE.

Worked example, step by step.

GIVEN. The table above. Sales are 250 units at Tk 70, a total of Tk 17,500. Units remaining: $400 - 250 = 150$. **FIND.** COGS and closing inventory by each method. **STEPS.** FIFO: COGS is $100 \times 40 + 150 \times 44 = 4,000 + 6,600 = 10,600$; closing is $50 \times 44 + 100 \times 48 = 2,200 + 4,800 = 7,000$. LIFO: COGS is $100 \times 48 + 150 \times 44 = 4,800 + 6,600 = 11,400$; closing is $100 \times 40 + 50 \times 44 = 4,000 + 2,200 = 6,200$. Average: $17,600 \div 400 = 44$ per unit; COGS is $250 \times 44 = 11,000$; closing is $150 \times 44 = 6,600$.

RESULTS OF THE THREE METHODS (TK)

Method	COGS	Closing inventory	Gross profit
FIFO	10,600	7,000	6,900
Weighted average	11,000	6,600	6,500
LIFO	11,400	6,200	6,100

Check and meaning.

CHECK. For each method COGS plus closing inventory equals goods available: $10,600 + 7,000 = 17,600$; $11,400 + 6,200 = 17,600$; $11,000 + 6,600 = 17,600$. When costs rise, as here, FIFO gives the highest profit and the highest closing inventory. LIFO gives the lowest profit. The average lies between.

Choosing a method for tax.

If tax were charged on profit and the owner could choose freely, LIFO would show less profit when prices rise and so delay tax. But IFRS (IAS 2) does not allow LIFO, and tax rules may state their own requirements. Among permitted methods, FIFO shows the highest profit and the highest tax, and weighted average lies between. The rules in force must be checked. Whatever method is chosen must be kept from year to year, so that results can be compared.

Two limits.

When prices fall, the order of results reverses. And inventory is shown at the lower of cost and net realisable value, which means the expected selling price less selling costs. Damaged or obsolete stock is written down to that lower figure.

SUMMARY

Inventory is held for sale, made, or used up. The cost of goods available is divided by FIFO, LIFO or weighted average. In rising prices FIFO gives the highest profit. Under IFRS, LIFO is not allowed.

THINK IT THROUGH

Goods available: 50 units at Tk 10, then 50 at Tk 12. Sell 60. FIFO COGS? ($50 \times 10 + 10 \times 12 = 620$.) Closing inventory? ($40 \times 12 = 480$.)

WHERE PEOPLE GO WRONG

Many students reverse the LIFO order and sell the oldest costs first. Others forget to count the opening inventory as part of goods available. A third error is to compute the average from unit costs alone instead of total cost over total units.

After the adjusting entries, an accountant has three lists: the unadjusted trial balance, the adjustments, and the amounts they produce. The statements still have to be written. If one error remains, it may be found only after the statements are printed. Would it not be safer to see everything on one sheet, and test it, first?

YOU WILL NEED: the trial balance (Chapter II) and adjusting entries (Chapter III). We continue with Padma Stationers at 31 January 2025.

THE WORKSHEET

The worksheet is a working paper.

Worksheet. A large sheet on which the accountant sorts the trial balance, adjustments and statement figures before preparing the statements.

Why and when it is prepared.

A **worksheet** means a large sheet on which the trial balance, the adjustments and the statement figures are sorted side by side. It is a working paper for the accountant, and it is not a formal document. It is not published, and it is not part of the books. The ledger is changed only by the journal entries.

A worksheet is prepared at the end of a period, after the trial balance and before the statements. It gives three benefits: it shows the effect of adjustments at once, it tests the arithmetic before any statement is written, and it makes the statements easy to prepare. It is prepared by the bookkeeper or accountant, for the owner or a senior accountant who reviews the work.

The ten-column sheet has five pairs of columns, each pair a debit and a credit. The pairs are: the *unadjusted trial balance*, the *adjustments*, the *adjusted trial balance*, the *income statement* and the *balance sheet*. Work from left to right. Add the pair across, then move to the next.

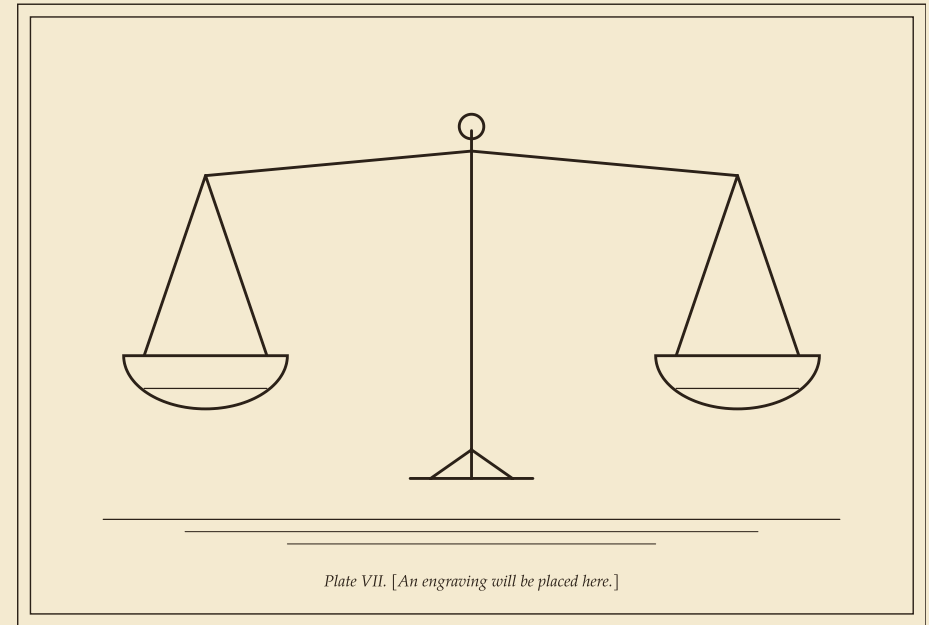
STEPS. (1) Copy the trial balance into the first pair, and total it. (2) Enter the adjustments in the second pair, with letters, and check that they balance. (3) Add or subtract across to make the third pair. (4) Carry each account to the income statement pair, or to the balance sheet pair. Revenue and expenses go to the income statement; assets, liabilities, capital and drawings go to the balance sheet.

GO SLOWLY HERE.

The sheet has ten columns in five pairs.

GO SLOWLY HERE.

Method in four steps.



CHAPTER VII

Special Journals, Cash and the Bank

A shop makes two hundred sales in a day. Must each one be written in the same book?



This chapter explains the special journals that save labour, the cash book, and the bank reconciliation statement that compares the books with the bank's.

Answer and check.

ANSWER. The entries add expenses of $12,000 + 1,000 + 1,000 + 3,000 = 17,000$ and revenue of $4,500 + 6,000 = 10,500$, so net income falls by 6,500, from 32,000 to 25,500. CHECK. Every entry has equal debits and credits, and the total debits (27,500) equal the total credits (27,500). The adjusted trial balance then totals Tk 593,000 on each side.

WHERE ADJUSTMENTS GO WRONG

Common slips.

The usual slips are three. A student debits Cash, though adjustments never touch cash. A student adjusts only one side. Or a student uses the wrong direction, such as crediting an expense account for an accrued wage. Ask each time: is it an asset or an expense, a liability or a revenue?

Relation to the statements.

The adjusted trial balance is the bridge. The unadjusted trial balance shows the books as recorded. The adjusting entries correct them. The adjusted trial balance lists every account at its right amount, and from it the income statement and balance sheet are drawn without further change.

SUMMARY

Accrual accounting matches expenses to the revenue they earn. At the end of each period, deferrals and accruals are adjusted, along with depreciation. Adjusting entries never touch Cash. The adjusted trial balance feeds the statements.

THINK IT THROUGH

A shop pays Tk 24,000 on 1 October for a year's insurance. How much is expense by 31 December and how much is still an asset? (6,000 expense; 18,000 prepaid.)

WHERE PEOPLE GO WRONG

Many students think an adjusting entry corrects a mistake. It does not. It brings correct records up to date. Others record accrued wages only when paid, which puts the cost in the wrong month.

IN HISTORY

In 1752 Britain changed from the Julian to the Gregorian calendar and lost eleven days. The tax year had begun on 25 March. To keep the full year of 365 days for taxpayers, the start moved to 5 April, and later, from 1800, to 6 April. The tax year of Britain still begins on that date. A period is a human choice, and the books must follow it.

REVIEW QUESTIONS

1. "Adjusting entries are essential for accrual accounting." Explain with an example.
2. Name the types of adjustment.
3. Insurance of Tk 12,000 was paid for 12 months from 1 March. Adjust at 31 December.
4. Why does an adjusting entry never include Cash?

Worked check.

GIVEN. On 12 May Padma pays Dhaka Paper Co the full invoice of Tk 40,000 less a 2 per cent discount for early payment; on 18 May it pays rent of Tk 8,000. FIND. The cash paid. STEPS. Discount = $40,000 \times 2\% = 800$; cash paid = $40,000 - 800 = 39,200$; rent 8,000; total cash 47,200. CHECK. Debits $40,000 + 8,000 = 48,000$ equal credits $800 + 47,200 = 48,000$.

THE BANK RECONCILIATION STATEMENT

Padma's cash book says the balance at the bank is Tk 48,500. The bank statement says Tk 52,300. Neither is wrong. A **bank reconciliation statement** is a statement that explains the difference between the two balances at one date. It is prepared by the business, usually monthly, to find errors and to bring the cash book up to date.

There are two groups of cause. *Timing differences* mean the bank has not yet seen something the business has recorded: a **deposit in transit**, which is cash banked but not yet credited, and **outstanding cheques**, which are cheques issued but not yet paid by the bank. *Unrecorded items* mean the bank has done something the business has not recorded: bank charges, interest earned, direct deposits by customers, and cheques returned unpaid. The bank sends notices: a **credit memo** adds to the account, and a **debit memo** subtracts from it.

GIVEN. Cash book balance Tk 48,500; bank statement Tk 52,300. Deposit in transit Tk 4,000; outstanding cheques Tk 8,400; bank charges Tk 300; interest credited Tk 500; customer deposit direct to bank (credit memo) Tk 1,200; customer cheque returned unpaid (debit memo) Tk 2,000. FIND. The true cash balance. STEPS. Correct each side as shown.

BANK RECONCILIATION, 31 DECEMBER 2025 (TK)

Item	Tk
Bank statement balance	52,300
Add deposit in transit	4,000
Less outstanding cheques	(8,400)
Adjusted bank balance	47,900
Cash book balance	48,500
Add interest 500 and customer deposit 1,200	1,700
Less bank charges 300 and returned cheque 2,000	(2,300)
Adjusted cash book balance	47,900

ANSWER. The true cash balance is Tk 47,900. CHECK. Both adjusted balances agree. Only the cash book side needs journal entries: Dr Cash 500, Cr Interest Income 500; Dr Cash 1,200, Cr Accounts Receivable 1,200; Dr Bank Charges 300, Cr Cash 300; Dr Accounts Receivable 2,000, Cr Cash 2,000. Timing items need no entry: the bank will catch up.

SUMMARY

Special journals record repeated events by kind and are posted by totals. The cash book is both journal and ledger. A bank reconciliation explains why the two balances differ and gives the true figure. Only unrecorded items need entries.

GO SLOWLY HERE.

The bank's record and the owner's record rarely agree.

Bank reconciliation statement.

A statement that explains the difference between the cash book balance and the bank statement balance at the same date.

GO SLOWLY HERE.

Causes of difference.

GO SLOWLY HERE.

Method: bring both balances to the true figure.

Answer, entries and check.

It is 31 January. The unadjusted trial balance of Padma Stationers is balanced. Yet three facts are missing from it. Part of the supplies has been used. Workers have worked five days for which they have not been paid. A customer paid in advance for work not yet done. If Nadia reads her profit from the books as they stand, she reads a wrong number.

YOU WILL NEED: the six account types, journal entries and the trial balance (Chapter II); revenue and expense (Chapter I).

WHY ADJUSTMENTS ARE NEEDED

There are two ways to measure profit. The *cash basis* records an item when cash moves. The **accrual basis** records revenue when it is earned and an expense when it is used, whatever the date of payment. Accrual gives a truer picture, so standards require it. Adjusting entries are what make the accrual basis work.

Accrual rests on the **matching** idea: the expenses of a period are set against the revenue they helped to earn. Wages for the last week of January belong to January, although they will be paid in February. The books, which record only what has happened, must be adjusted to show what belongs.

There are three reasons. Some payments cover several periods and must be divided. Some costs and revenues have arisen but not yet been recorded. And some assets lose value gradually, which the daily records do not show. For these reasons an **adjusting entry** is made at the end of every period. It changes an account balance to its correct amount. It never involves Cash.

TYPES OF ADJUSTMENT

Adjustments come in two families. *Deferrals* hold back a cash payment or receipt that belongs partly to the future. A **prepaid expense** is a cost paid before it is used, such as insurance, and it is an asset until used. **Unearned revenue** is money received before work is done, and it is a liability until the work is finished.

Accruals record items that exist before cash moves. An **accrued expense** is a cost already used but not yet paid, such as wages for days worked. An **accrued revenue** is revenue earned but not yet received, such as fees for work done and not yet billed. A fifth case needs an estimate: **depreciation**, the spreading of an asset's cost over its life (Chapter VIII).

Profit belongs to the period that earned it.

Accrual basis. A method that records revenue when it is earned and expenses when they are incurred, whether or not cash moves.

The matching idea.

Reasons for adjusting.

GO SLOWLY HERE.

Four types, in two families.

Prepaid expense. A cost paid in advance that is recorded as an asset until it is used.

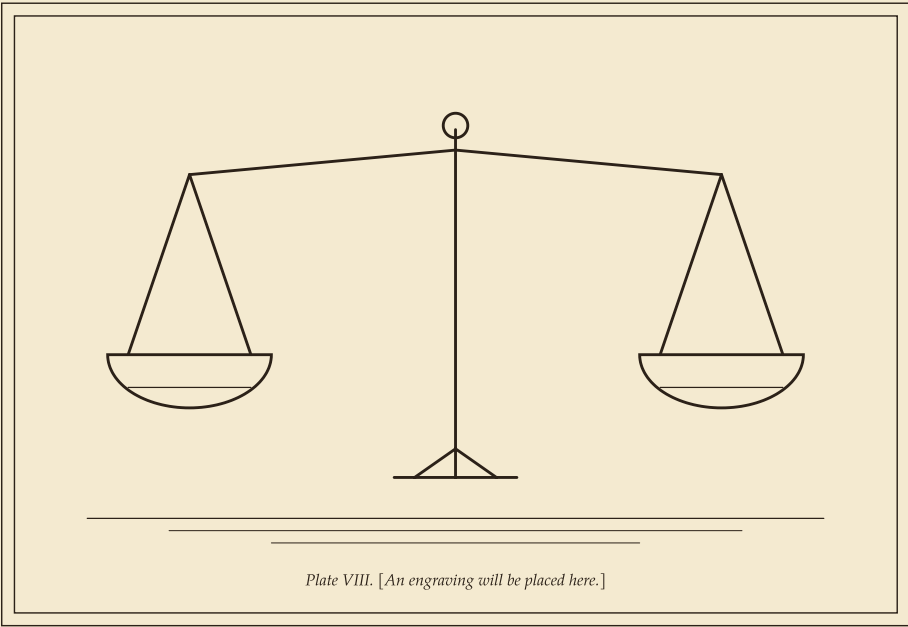
Unearned revenue. Money received before the work is done; it is a liability until the work is finished.

GO SLOWLY HERE.

Accruals record what cash has not yet shown.

Accrued expense. A cost already used but not yet paid or recorded, shown as a liability.

Accrued revenue. Revenue already earned but not yet billed or received, shown as an asset.



CHAPTER VIII

Plant Assets and Depreciation

A copier lasts ten years. Why is its whole cost not an expense of the first?

This chapter explains what plant assets are, why their cost is spread over their lives, and how the main methods of depreciation work.

THINK IT THROUGH

Record in T-accounts: (a) owner invests Tk 60,000; (b) buys goods on credit Tk 8,000; (c) pays Tk 3,000 of the debt. Find the Cash and Accounts Payable balances. (Cash 57,000 debit; Accounts Payable 5,000 credit.)

WHERE PEOPLE GO WRONG

Beginners believe debit always means increase. It does for assets, but not for liabilities. Another error is to think the trial balance is the balance sheet. A third is to record only one side of a transaction.

IN HISTORY

In 1494 Luca Pacioli, a friar and teacher of mathematics, published *Summa de arithmetica* in Venice. One section described the merchant's methods of bookkeeping, including journal, ledger and balancing by equal debits and credits. Pacioli did not invent them: Italian merchants used the method earlier. He wrote it down, and so it spread.

SOURCES

Pacioli, L. (1494), *Summa de arithmetica, geometria, proportioni et proportionalita*. It matters because it is the earliest printed account of double entry.

REVIEW QUESTIONS

- 1. What are the six types of account and which are increased by debit?
- 2. Record: owner invests Tk 50,000 cash; buys equipment Tk 20,000 cash.
- 3. A trial balance differs by Tk 360. What is the first check?
- 4. How does a trial balance differ from a balance sheet?
- 5. Name the parts of a T-account.

METHODS OF DEPRECIATION

The **straight-line method** charges equal amounts each year. **FORMULA.** In words: annual depreciation equals cost, less residual value, divided by useful life in years. In symbols: $D = (C - S) \div N$. Here C is cost, S is residual value, and N is life.

GIVEN. Padma buys equipment for Tk 440,000. Useful life is 10 years. Residual value is Tk 40,000. **FIND.** Annual depreciation and the journal entry. **STEPS.** $C - S = 440,000 - 40,000 = 400,000$. $D = 400,000 \div 10 = 40,000$. **ANSWER.** Each year Dr Depreciation Expense 40,000, Cr Accumulated Depreciation 40,000. **CHECK.** Ten years at 40,000 total 400,000, which is cost less residual value; the book value then equals the residual 40,000.

STRAIGHT-LINE SCHEDULE (TK)

Year	Expense	Accumulated depreciation	Book value
At purchase			440,000
1	40,000	40,000	400,000
2	40,000	80,000	360,000
3	40,000	120,000	320,000

Depreciation expense is the charge for one year, and it appears on the income statement. *Accumulated depreciation* is the total charged since purchase, and it appears on the balance sheet. In year 3 the expense is 40,000 and the accumulated depreciation is 120,000.

If the equipment is bought on 1 April, the first year's charge covers nine months of a twelve-month year: $40,000 \times 9 \div 12 = 30,000$.

The **units-of-production method** charges depreciation by use. **FORMULA.** Rate per unit equals (cost – residual value) divided by total units expected. **GIVEN.** The machine costing Tk 650,000 will give 600,000 copies and then be worth Tk 50,000. This year it makes 90,000 copies. **STEPS.** Rate = $(650,000 - 50,000) \div 600,000 = 1.00$ per copy. Depreciation = $90,000 \times 1.00 = 90,000$. **CHECK.** At 600,000 copies the total charge would be 600,000, equal to cost less residual value.

The **declining-balance method** charges a fixed percentage of the opening book value, so the charge is largest in the early years, when the asset is most useful. The *double-declining-balance* rate is twice the straight-line rate. **GIVEN.** Cost Tk 100,000, life 5 years, residual value Tk 5,000. **STEPS.** Straight-line rate = $1 \div 5 = 20$ per cent; double rate = 40 per cent. Year 1: $40\% \times 100,000 = 40,000$; book value 60,000. Year 2: $40\% \times 60,000 = 24,000$; book value 36,000. Year 3: $40\% \times 36,000 = 14,400$; book value 21,600. The residual value is ignored in the rate, but the book value must never fall below it.

The method should suit how the asset gives its service. A machine that wears with output suits units of production. A building that gives steady service suits straight-line. Once chosen, the method is kept from year to year.

GO SLOWLY HERE.

Straight-line gives the same charge each year.

Straight-line method. A method that charges the same depreciation every year: cost less residual value divided by useful life.

GO SLOWLY HERE.

Worked example: straight-line.

The difference between expense and accumulated depreciation.

Part of a year.

GO SLOWLY HERE.

Units of production follows use.

Units-of-production method. A method that charges depreciation by the amount of work the asset does in each period.

GO SLOWLY HERE.

Declining balance gives larger charges early.

Declining-balance method. A method that charges a fixed percentage each year on the book value at the start of the year, so charges fall as the asset ages.

Choosing a method.

Learn this table. It is the whole of the system.

SIX ACCOUNT TYPES			
Type	Normal balance	Increase	Decrease
Asset	Debit	Debit	Credit
Expense	Debit	Debit	Credit
Drawings	Debit	Debit	Credit
Liability	Credit	Credit	Debit
Capital	Credit	Credit	Debit
Revenue	Credit	Credit	Debit

GO SLOWLY HERE.

Double entry: every debit has an equal credit.

Double-entry system. A method in which every transaction is recorded as equal debits and credits in at least two accounts.

Pause and check.

The **double-entry system** means a method in which every transaction is recorded with debits equal to credits, in at least two accounts. Buying the copier increases an asset, Equipment, so Equipment is debited Tk 150,000. It decreases another asset, Cash, so Cash is credited Tk 150,000. The totals match, and the equation stays in balance.

PAUSE AND CHECK. The shop pays Tk 12,000 rent. Which account is debited, and which is credited? (Debit Rent Expense, since expenses rise by debit. Credit Cash, since assets fall by credit.)

THE JOURNAL

The journal is the book of first entry.

Journal. The book in which transactions are first recorded, in order of date, with debits and credits.

The **journal** means the book in which transactions are first recorded, in date order, with debits and credits and a short explanation. Each record is a *journal entry*. It names the date, the account debited, the account credited, the amounts, and a narration. The debit is written first, and the credit is indented.

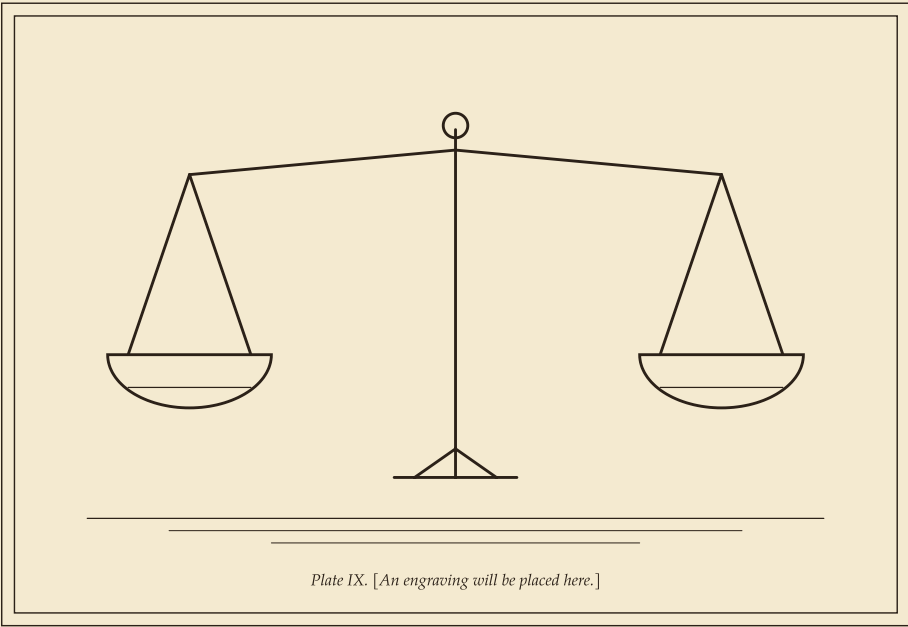
JOURNAL OF PADMA STATIONERS, JANUARY 2025 (TK)			
Date	Particulars	Debit	Credit
1 Jan	Cash	500,000	
	Capital		500,000
3 Jan	Equipment	150,000	
	Cash		150,000
5 Jan	Supplies	20,000	
	Accounts Payable		20,000
10 Jan	Cash	40,000	
	Fees Revenue		40,000
15 Jan	Rent Expense	12,000	
	Cash		12,000
20 Jan	Accounts Payable	10,000	
	Cash		10,000
25 Jan	Drawings	15,000	
	Cash		15,000

Accounts payable and receivable.

Accounts payable. Money the business owes to suppliers for goods or services bought on credit.

Accounts receivable. Money customers owe the business for goods or services sold on credit.

Two names appear often. **Accounts payable** means money the business owes to suppliers; it is a liability. **Accounts receivable** means money customers owe the business; it is an asset. They are opposites: one is a debt of the business, the other is a debt to the business.

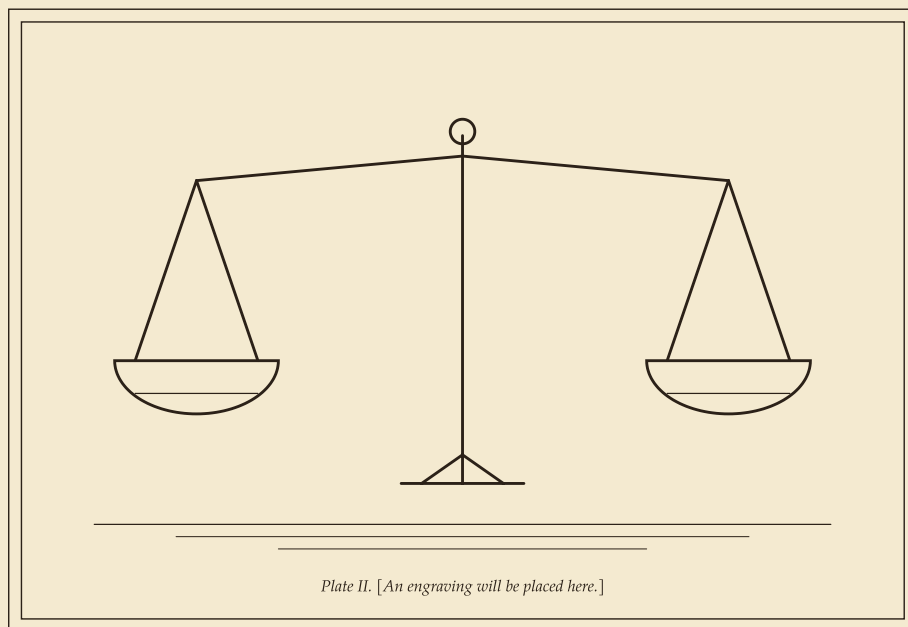


CHAPTER IX

Different Kinds of Organisation

Some groups keep accounts but do not seek profit. Some firms share profit among friends. How do their books differ?

This chapter shows how a club keeps its accounts, then follows Padma Stationers as it becomes a partnership: the agreement, the sharing of profit, and the ending of the firm.



CHAPTER II

Recording the Transactions

One transaction must be written twice. Why?



This chapter explains accounts, debits and credits, the journal and the ledger, and the trial balance. It follows one month of Padma Stationers from first entry to a proved balance.

The deed records the terms.

Partnership deed. The written agreement setting out each partner's rights and duties.

GO SLOWLY HERE.

Profit is shared in steps.

Check and entries.

Reasons for liquidation.

Liquidation. The process of ending a business by selling its assets, paying its debts and sharing what is left among the owners.

GO SLOWLY HERE.

Order of payment.

GO SLOWLY HERE.

Worked example of liquidation.

A written agreement is called a **partnership deed**. It states the name and purpose of the firm, the capital each partner brings, the ratio in which profits and losses are shared, any interest on capital or salary to partners, the rules for drawings, the rights to join or leave, the rules for settling accounts, and the way the firm may end. Without a deed, the Act supplies a default rule: profits and losses are shared equally.

The deed fixes how profit is divided. This is done in an *appropriation account*. First, interest on capital is credited to each partner. Second, salaries are given to partners who work in the business. Third, the remaining profit is shared in the agreed ratio. **GIVEN.** Net profit Tk 300,000. Capital: Nadia Tk 600,000 and Imran Tk 400,000. Interest on capital 10 per cent. Imran's salary Tk 60,000. Remaining profit shared 3 to 2.

APPROPRIATION OF PROFIT (TK)

Item	Nadia	Imran	Total
Interest on capital (10%)	60,000	40,000	100,000
Salary		60,000	60,000
Share of remainder (3:2)	84,000	56,000	140,000
Total	144,000	156,000	300,000

STEPS. Remainder = 300,000 – 100,000 – 60,000 = 140,000. Nadia: $3 \div 5 \times 140,000 = 84,000$. Imran: $2 \div 5 \times 140,000 = 56,000$. **CHECK.** 144,000 + 156,000 = 300,000, equal to net profit. The formation entry is Dr Cash 1,000,000, Cr Nadia, Capital 600,000, Cr Imran, Capital 400,000.

WHEN THE FIRM ENDS

Liquidation means ending a business by selling the assets, paying the debts, and giving the owners what is left. A partnership may end for several reasons: the agreed term expires, the venture is complete, the partners agree, a partner dies, retires or becomes insolvent and the deed gives no right to continue, a court orders it, or the business becomes unlawful. These reasons are set by the deed and the Act.

The order is fixed. First, the non-cash assets are sold, and the gain or loss on realisation is shared among the partners in the profit ratio. Second, outside debts are paid. Third, what remains is paid to the partners according to their capital balances.

GIVEN. Cash Tk 50,000; other assets Tk 450,000; liabilities Tk 150,000; capital Nadia Tk 200,000 and Imran Tk 150,000. Profit ratio 3 to 2. The other assets sell for Tk 360,000. **STEPS.** (1) Dr Cash 360,000, Dr Loss on Realisation 90,000, Cr Other Assets 450,000. (2) Share the loss: Dr Nadia, Capital 54,000, Dr Imran, Capital 36,000, Cr Loss on Realisation 90,000. (3) Pay debts: Dr Liabilities 150,000, Cr Cash 150,000. (4) Pay partners: Cash is now 50,000 + 360,000 – 150,000 = 260,000. Capital is Nadia 146,000 and Imran 114,000. Dr Nadia 146,000, Dr Imran 114,000, Cr Cash 260,000. **CHECK.** Capital paid (260,000) equals cash left, and every account is zero.

How to read the table and check it.

ANSWER. After transaction 7 the business has assets of Tk 523,000, owes Tk 10,000, and equity is Tk 513,000. CHECK. Equity should equal capital 500,000 plus revenue 40,000, less rent 12,000, less drawings 15,000. That is 513,000, which agrees. Each row is a transaction, and in every row the left total equals the right total.

Common slips.

A common slip is to treat drawings as an expense. Drawings reduce equity but are not a cost of running the business. Another slip is to forget that paying a supplier lowers both an asset and a liability, leaving equity unchanged.

REPORTING TO THE WORLD

Four statements report the business.

Financial statement. A formal report that sums up the results or position of a business.

Periods are fixed in advance.

A **financial statement** means a formal report that sums up the results or position of a business. A profit-seeking business prepares four: the *income statement*, which shows revenue, expenses and profit for a period; the *statement of changes in equity*; the *balance sheet*, which lists assets, liabilities and equity at one date; and the *cash flow statement*, which shows cash received and paid. Notes explain the figures. The first three are learned in Chapters IV and V.

The income statement covers a period. A **fiscal year** means any twelve-month period a business chooses for its reports, such as 1 July to 30 June. A *calendar year* runs from 1 January to 31 December. *Interim periods* are shorter, such as a quarter, used for reports between year-ends.

SUMMARY

Business sells goods or services for profit. Accounting records, sorts and reports money facts for internal and external users. Standards and concepts keep reports fair and comparable. All records rest on $A = L + E$, and every transaction leaves it in balance.

THINK IT THROUGH

Nadia buys a printer for Tk 30,000, paying Tk 10,000 now and owing the rest. Which of A, L and E change, and by how much? (Assets rise by 30,000 minus 10,000 cash, so net 20,000; liabilities rise by 20,000.)

WHERE PEOPLE GO WRONG

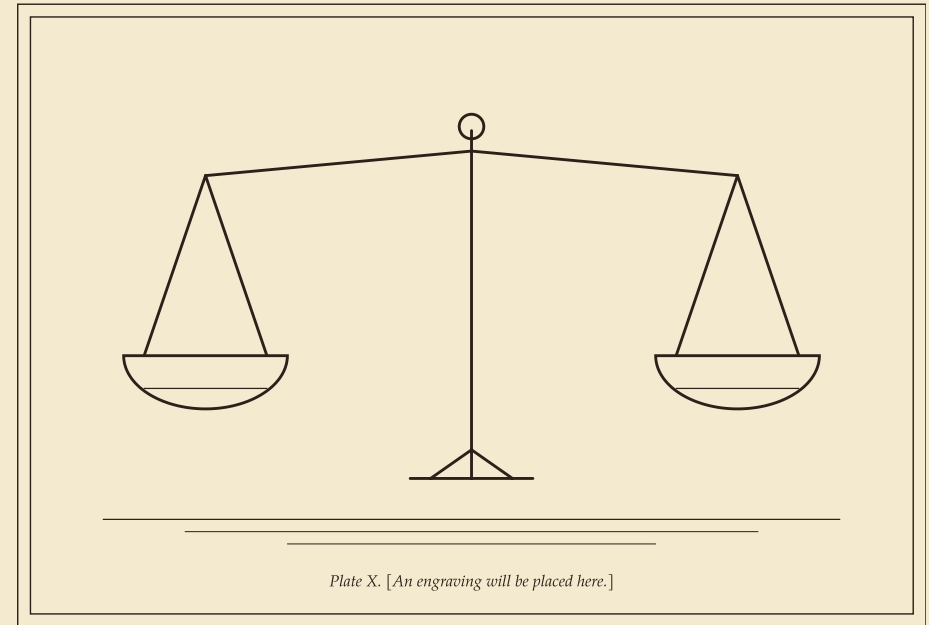
Many students think profit and cash are the same. They are not: a sale on credit raises profit before it raises cash. Many also think equity means money in the bank. Equity is a claim, not a sum of cash.

IN HISTORY

Clay tablets from Mesopotamia, dating from about 3000 BC, record quantities of grain and animals owed or delivered. People needed a record because memory failed once an exchange spread over time and many people. Accounting began where trust needed a witness.

REVIEW QUESTIONS

1. Name the three kinds of company and give one example of each.
2. State the accounting equation and say how a liability differs from equity.
3. A business has assets Tk 80,000 and liabilities Tk 30,000. Find equity.
4. Why are accounting standards needed?



CHAPTER X

The Company and Its Shares

How can a hundred people own one business without any of them being responsible for its debts?



This chapter explains the company form, the kinds of shares, and how shares are issued and recorded.

Accounting has several branches.

Financial accounting. The branch that reports a business's results to people outside it, such as lenders and tax officers.

Management accounting. The branch that gives managers the figures they need to plan and control the business.

Bookkeeping is only the first step.

Accounting has several branches. **Financial accounting** reports results to people outside the business. **Management accounting** gives managers figures to plan and control work. **Cost accounting** finds what each product or service costs to make. **Auditing** means an independent check that the records are fair. **Tax accounting** prepares the figures for tax returns. This book teaches mainly financial accounting.

A word often confused with accounting is *bookkeeping*. Bookkeeping means the daily recording of transactions. Accounting includes bookkeeping and then goes further: it classifies the records, summarises them, and explains what they mean.

WHO USES ACCOUNTING INFORMATION

A **user** means a person who reads accounting information in order to decide something. Users of two kinds exist. *Internal users* work inside the business: the owner and the managers. *External users* sit outside it: lenders, suppliers, customers, tax officers, employees and possible investors.

The same figures serve different questions. The owner asks, "Did we earn a profit?" A bank asks, "Can this business repay a loan?" A supplier asks, "Will we be paid on time?" The tax officer asks, "Is the tax correct?" An employee asks, "Is the business secure enough for my job?" A viewpoint changes the question, but the record is the same.

THE RULES OF THE GAME

Accounting standards means written rules that tell accountants how to record and report items. They are needed for one reason. Without common rules, two shops with the same facts could report different profits, and no reader could compare them. In Bangladesh, companies follow International Financial Reporting Standards (IFRS) as adopted locally.¹

The ideas beneath the standards are called **Generally Accepted Accounting Principles**, shortened to GAAP. They ensure consistency, which means that the same method is used from one year to the next. They also ensure fairness, because every user reads figures prepared by the same rules.

Several basic concepts are used throughout this book. The *business entity* concept says the business is kept separate from its owner's private affairs. The *money measurement* concept says only facts that can be stated in money are recorded. The *cost* concept says an asset is recorded at what was paid for it. The *going concern* concept assumes the business will continue. The *periodicity* concept divides life into periods, such as a year. The *accrual* concept records an item when it happens, not when cash moves (Chapter III). Prudence asks that losses are not hidden and profits are not overstated.

Users sit inside and outside the business.

User. A person who reads accounting information in order to make a decision.

Each user asks a different question.

Standards make reports comparable.

Accounting standards. Written rules that tell accountants how to record and report items, so that reports can be compared.

Principles and concepts sit beneath the standards.

GAAP. Generally Accepted Accounting Principles: the common rules and ideas that accountants agree to follow.

Some basic concepts follow.

JOURNAL ENTRIES, ISSUE OF SHARES (TK)

Particulars	Debit	Credit
Bank	30,000	
Share Application		30,000
Share Application	30,000	
Share Capital		30,000
Share Allotment	50,000	
Share Capital		30,000
Share Premium		20,000
Bank	50,000	
Share Allotment		50,000
Share Call	40,000	
Share Capital		40,000
Bank	40,000	
Share Call		40,000

Answer and check.

ANSWER. Share capital is 30,000 + 30,000 + 40,000 = 100,000, which is 10,000 shares at Tk 10. Share premium is 20,000. Bank receives 120,000. **CHECK.** 10,000 shares at Tk 12 give 120,000, which equals 100,000 + 20,000. Share premium is not profit; it is part of equity, shown apart from share capital.

SUMMARY

A company is a legal person owned by shareholders with limited liability. Ordinary shares carry votes and residual profit; preference shares carry a fixed dividend first. Shares are issued at par or premium, often in stages, and recorded in capital and premium accounts.

THINK IT THROUGH

A company issues 5,000 shares of Tk 10 at Tk 15, all payable at once. Find share capital and premium. (50,000 and 25,000; bank 75,000.)

WHERE PEOPLE GO WRONG

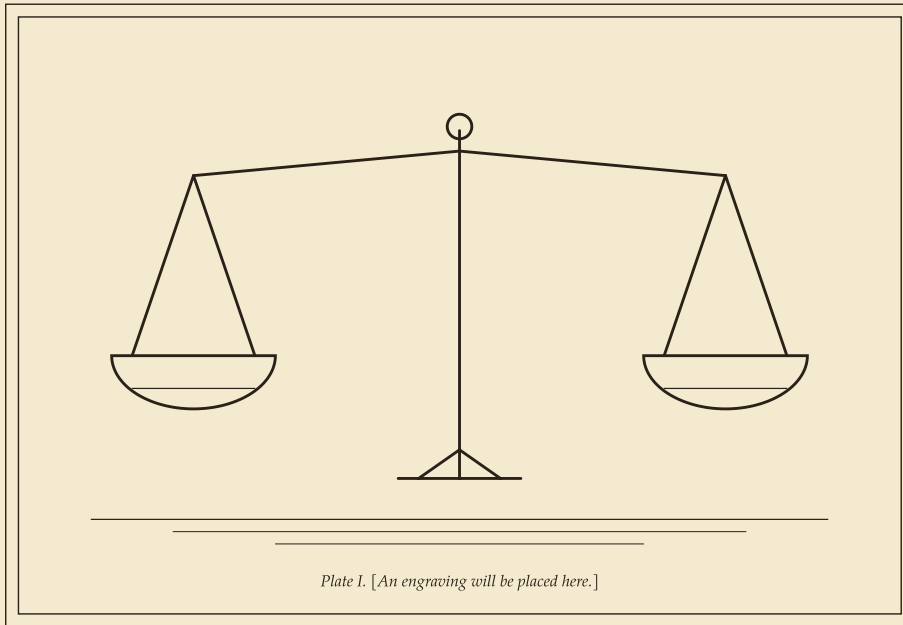
Many students enter the premium as revenue. It is not. Others confuse authorised capital with issued capital: the first is a limit, the second is what has been sold.

IN HISTORY

In 1602 the Dutch East India Company was founded in the Netherlands. Its shares could be bought and sold in Amsterdam, and its owners were not personally responsible for its debts beyond their investment. It is often called the first company with freely traded shares.

REVIEW QUESTIONS

1. What is a company and how does it differ from a partnership?
2. Differentiate ordinary and preference shares.
3. Distinguish authorised, issued and paid-up capital.
4. Journalise: 2,000 shares of Tk 10 issued at par, all paid in cash.
5. What is share premium?



CHAPTER I

Business and Accounting

A shopkeeper is asked, "Are you making money?" What does she say?



This chapter explains what a business does, what accounting is and who needs it, the rules accountants follow, and the one equation on which all of accounting rests. It ends with the statements that report a business to the world.

Account. A record of all changes to one kind of item, such as Cash or Rent Expense. (Ch. II)

Accounting. The process of recording, sorting and reporting the money facts of a business so that people can make decisions. (Ch. I)

Accounting cycle. The steps repeated every period, from recording transactions to closing the books. (Ch. II)

Accounting equation. Assets equal liabilities plus equity. It holds after every transaction. (Ch. I)

Accounting standards. Written rules that tell accountants how to record and report items, so that reports can be compared. (Ch. I)

Accounts payable. Money the business owes to suppliers for goods or services bought on credit. (Ch. II)

Accounts receivable. Money customers owe the business for goods or services sold on credit. (Ch. II)

Accrual basis. A method that records revenue when it is earned and expenses when they are incurred, whether or not cash moves. (Ch. III)

Accrued expense. A cost already used but not yet paid or recorded, shown as a liability. (Ch. III)

Accrued revenue. Revenue already earned but not yet billed or received, shown as an asset. (Ch. III)

Accumulated depreciation. The total depreciation charged on an asset so far. It is subtracted from the asset's cost. (Ch. III)

Asset. Something of value that a business owns and can use in future, such as cash or equipment. (Ch. I)

Balance sheet. A report of the assets, liabilities and equity of a business at one date. (Ch. IV)

Bank reconciliation statement. A statement that explains the difference between the cash book balance and the bank statement balance at the same date. (Ch. VII)

Business. An organisation that sells goods or services to customers in order to earn a profit. (Ch. I)

Cash book. A book that records all cash received and paid and also serves as the Cash account. (Ch. VII)

Classified statement. A statement in which items of the same kind are grouped under headings and subtotals. (Ch. V)

Closing entries. Entries made at the end of a period to bring revenue, expense and drawings accounts to zero and move the result to capital. (Ch. IV)

Company. A business that the law treats as a person separate from its owners, with its capital divided into shares. (Ch. X)

Control account. A general ledger account whose balance equals the total of many individual customer or supplier accounts. (Ch. VII)

Cost flow assumption. A rule stating which unit costs are treated as sold first, used to divide the cost of goods between sold and unsold. (Ch. VI)

Cost of goods sold. The cost of the goods that were sold during the period. (Ch. V)

Current asset. An asset expected to be turned into cash or used up within one year. (Ch. V)

Current liability. A debt that must be paid within one year. (Ch. V)

Declining-balance method. A method that charges a fixed percentage each year on the book value at the start of the year, so charges fall as the asset ages. (Ch. VIII)

Depreciation. The spreading of the cost of a plant asset, less its residual value, over the years it is expected to be used. (Ch. VIII)

Double-entry system. A method in which every transaction is recorded as equal debits and credits in at least two accounts. (Ch. II)

Equity. The owner's claim on the business: what is left after liabilities are taken from assets. (Ch. I)

Expense. A cost of running the business, such as rent or wages. It lowers equity. (Ch. I)

FIFO. First in, first out: the oldest costs are treated as sold first, so inventory carries the newest costs. (Ch. VI)

Financial accounting. The branch that reports a business's results to people outside it, such as lenders and tax officers. (Ch. I)

Financial statement. A formal report that sums up the results or position of a business. (Ch. I)

GAAP. Generally Accepted Accounting Principles: the common rules and ideas that accountants agree to follow. (Ch. I)

Income statement. A report of revenue, expenses and net income for a period of time. (Ch. IV)

Inventory. Goods a business holds for sale in the ordinary course of trade. (Ch. V)

Inventory (types). Goods held for sale, goods being made, and materials waiting to be used. (Ch. VI)

Journal. The book in which transactions are first recorded, in order of date, with debits and credits. (Ch. II)

Ledger. The complete set of accounts of a business, in which journal entries are sorted by account. (Ch. II)

Liability. An amount the business owes to someone outside it. (Ch. I)

Limited liability. The rule that owners lose at most the amount they agreed to pay for their shares. (Ch. X)

Liquidation. The process of ending a business by selling its assets, paying its debts and sharing what is left among the owners. (Ch. IX)

Management accounting. The branch that gives managers the figures they need to plan and control the business. (Ch. I)

Manufacturing company. A business that turns materials into new goods and then sells those goods. (Ch. I)

Merchandising company. A business that buys finished goods and sells them again without making any change. (Ch. I)

Non-trading concern. An organisation, such as a club or charity, that provides service to members or the public and does not exist to earn profit. (Ch. IX)

Ordinary share. A share that gives a vote and a share of profits after all other claims, with no fixed dividend. (Ch. X)

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PRINCIPLES AND PRACTICES OF ACCOUNTING

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An Introduction for Readers Who Know Nothing Yet



BUSINESS, MANAGEMENT AND ACCOUNTING

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